

Chapter IV- Legally stipulated minimum working conditions

The preceding chapters have provided insights into the meaning of employment relation it and basically it was pointed out that it is a contractual relation. Nevertheless, this is part of the truth. Unlike most contractual engagements where the parties to the contract are left alone to determine the terms of their contractual relation, employment relation has its bench marks (the so called minimum working conditions) below which the terms of the contract may not stipulate.

The rational behind stipulating minimum working conditions is predominantly attributed to what economists call *market failure*. As employer and employee are not on equal bargaining strength, leaving them alone to define their terms of contract failed to bring about equitable outcome. As the market did not work well in this respect, manifestations of failure such as injustice and instability of industrial peace became the order of the day. Hence, freedom of contract (i.e. market) failed in this regard. State intervention has been warranted in situations of market failure and this seems why many governments decide to intervene, through law making, and come up with minimum working conditions.

Most provisions of minimum labour conditions are related, but not limited, to prescribing minimum wage; limiting daily/weekly working hours; provision of paid leaves; employment security; maintenance of safe and healthy working condition and compensation for employment injury.

4.1. Minimum Wage

Many jurisdictions have succeeded in prescribing minimum hourly/monthly wages to employees working within their territory. Others leave this issue to the contracting parties. The Ethiopian employment regime seems to adopt a hybrid of the two approaches. The civil service regime has prescribed a minimum monthly wage for those working in the civil service;¹ while the labour law regime has left the issue to the parties themselves.

¹ The current minimum monthly wage is Birr 320.

The rationale for such double standard from the side of the Ethiopian government may be explained away in the light of its economic philosophy. It is believed that in a free market economy, price of goods and services is to be fixed by taking into account the supply and the demand side of the item in a forum of bargain. This could be the main reason why the government opted for deregulation with regard to the private sector. As regards to the civil service, however, since the government is the sole employer, it can come up with a rule binding upon itself. This can also serve as a reference for the private sector while negotiating on wage and other related benefits.

The problem associated with such an approach is the invalidity of considering labour as a commodity whose price is to be determined against supply and demand. The ILO Conference under the annex for its Constitution reaffirms that “labour is not a commodity” (Annex-I (a)). Furthermore countries like the US who claim to be the most faithful exponents of free market economy see nothing wrong in determining minimum hourly wage by law. In light of these, the position of the Ethiopian government seems to deserve second thought.

Exercise

What do you think the pros and cons of stipulating minimum wage in the present day Ethiopian reality are? Assume that the Ethiopian government is convinced towards prescribing minimum wage, How should it go about it? Stipulating minimum wage for the lowest possible wage or stipulating minimum wage for each possible job classifications?

4.2. Employment security

Another item for minimum working condition is trying to protect the employee from unjustified dismissal. Employment, for a worker, is not only a source of revenue but also an engagement for career development and an expression of human dignity. Traditionally, in contract of employment, both parties were to remain engaged so long as both of them are willing to remain engaged. If either of the parties did not want to continue with the engagement, either was entitled to put an end to it. Compelling the employee to remain employed against his/her will was tantamount to legalizing slavery or forced labour. Likewise, it was held that equity would not force the acceptance of unwanted service by the employer.

Modern employment relation has slightly deviated from such an understanding. Although the employee is still at liberty to terminate his/her contract of employment with cause or without cause subject to prior notice,(Art.31 LP & Art.78 FCSP), such entitlement is not widely available to the employer. This is an aspect of expression for ensuring employment security to the employee as employment is a means to survival for him/her.

ILO has adopted “Termination of Employment Convention No.158” which stipulates: *the employment of a worker shall not be terminated unless there is valid reason for such termination connected with the capacity or conduct of the worker or based on the operational requirements of the undertaking, establishment or service”(Art.4)*. Furthermore, it has been stated that the scope of application of the Convention is “... *to all branches of economic activity and to all employed persons” (Art.2 (1))*.

The need to base termination of employment on a valid reason is the cornerstone of the Convention’s provisions. The adoption of this principle removes the possibility for the employer to unilaterally end an employment relationship of indeterminate duration by means of a period of notice or compensation in lieu thereof. It should be noted here that the question of termination of employment for a valid reason is distinct from that of a worker’s right to a period of notice and a severance allowance. The Convention requires that there be a valid reason for termination of employment, whether it is terminated following a period of notice or not. National laws and practices that only require a valid reason for termination of employment where there is no period of notice and that do not require justification for termination of employment when notice has been given are not in accordance with the Convention.²

Ethiopia ratified this Convention in 1991 and hence it is an integral part of Ethiopian law. Consequently, current Ethiopian laws, in compliance with the country’s ILO commitment, try to prohibit unjustified dismissal through different modalities. The first step is laying down the grounds of termination exhaustively and catagorising terminations outside of these grounds as unlawful. The second step is spelling out a procedural mechanism through which the legality or otherwise of terminations would be examined by a neutral tribunal. The third step is prescribing a presumption in favour of a contract of employment for indefinite period which in effect means

² Report of Committee of Experts, Protection against Unjustified Dismissal, ILO(1995), p.31

employment security is presumed. The fourth step goes towards empowering the neutral organ to hold the employer liable for unlawful terminations.

The extent of liability of the employer may extend to reinstating the employee to his/her previous employment or payment of compensation in lieu of reinstatement. Penalty may also be a possible measure against unlawful termination. ***(Please look for specific provisions under LP and FSCP which are relevant in this regard and determine their adequacy for the purpose.)***

4.3. Normal Working hours

By normal working hours, we mean those periods in a day or in a week when the employee regularly renders service to the benefit of his/her employer. Historically, determination of working hour was left to the parties' bargain. An attempt to limit working hours by law was being held an interference of the state into a private domain. For instance, in 1905, in ***Lochner vs New York*** case, the US Supreme Court struck down a New York law limiting work in bakeries to ten a day on the ground that it interfered with the freedom of contract between employers and employees. Through passage of time, however, it becomes a general practice to fix maximum hours of work by law and/or by collective agreement. In fact, limitation of maximum working hours became one of the most important concerns of labour laws of various jurisdictions. Actually, in 1919, ILO came up with a convention which embodied eight hours/day as the normal working hour.

Ethiopia, for the first time, introduced a provision limiting working hours in 1964 through a Regulation issued pursuant to Proclamation No.210/63. It was then stated that normal working hours shall be eight hours in a day and forty eight hours in a week. Currently, regular working hours for employees under the civil service and labour have slight differences. Under the civil service, it has been stipulated that "regular working hours of civil servant shall be determined on the basis of the conditions of their work and shall not exceed 39 hours a week."(Art.32). Under the Labour Proclamation, however, "normal hours of work shall not exceed eight hours a day or forty eight hours a week" (Art.61 (1))

In order to ensure the reliable application of this limitation, the law has further introduced additional safety valves. First of all, it declared that overtime work is in principle prohibited. It is

only in cases where exceptional circumstances expressly stated by law have occurred that overtime work is allowed. (Arts.66 & 67 LP; Art.34 FCSP). Secondly, even if conditions for overtime work are met, the rate of payment for overtime work is being made expensive partly to discourage the employer from requiring overtime work. (Art.68 LP). Thirdly, an employer who “causes workers to work beyond the maximum working hours set forth by or contravenes in any manner the provisions relating to working hours is liable to fine”(Art.184(1)(a) LP).

Related with these, the laws grant a certain amount of paid leaves in the form of annual leave. It is believed that the purpose of annual leave is to enable an employee get rest with payment and resume work with renewed strength thereafter.

When one looks at the historical development of annual leave in Ethiopia, it was first introduced through the Civil Code of 1960. It was then 10 consecutive days per year for a service of more than one year up to five years; 15 days for a service more than five and up to fifteen years; 20 days for a service more than fifteen years(Art.2562). Four years latter, Regulation No.302 of 1964 on minimum labour standards came up with more generous amount of annual leave. It provided as follows:

- 14 consecutive days for a service of at least one year up to three;
- 16 consecutive days for a service more than three years and less than five;
- 20 consecutive days for more that five years and less than ten;
- 25 consecutive days for more than ten years of service. (Art. 5 of the Regulation)

Then comes Labour proclamation No.64/1975 which stipulated 14 working days of annual leave for the first year of service and an additional one working day for every additional year of service. Unlike the two preceding legal instruments, this proclamation employed the phrase “...*working days*” instead of “*consecutive days*”. ***Is there any difference between the two? Are they interchangeable?***

Both the LP and the FCSP which are currently in force have adopted the terminology of the recent instrument (i.e working days). Actually, the civil service grants 20 working days for one year of service and it will be increased by one additional working day for every additional year of service the maximum ceiling being 30 working days (Art.37 FCSP). The labour proclamation on its part provides 14 working days as an initial leave for the first year of service, and one

additional working day for every additional year of service with no maximum limit (Art.77 LP). Nevertheless, it is important to note that the annual leave under the civil service is the minimum and at the same time the maximum while that of the labour proclamation is only the minimum as it can be increased through individual contract of employment, work rule or collective agreement.

Sick leaves and public holidays are also items of minimum working conditions. Under the Civil Code, “the employee was entitled to one month sick leave which was half paid where the employee had worked one or more years to the employer”(Art.2542). It was with the coming into force of Proc. No.64/75 that the employee received prolonged sick leave. Sick leave on the basis of that proclamation was six months in duration out of which the first month was with full wage payment; the next two months with half pay and the last three months with no wage payment (Art.38).

Currently, the present labour proclamation incorporated the stipulations of the previous labour proclamation with respect to sick leave. The civil service regime appears to be more generous in this regard. It grants eight months sick leave out of which the first three months are fully paid; the next three months will be with half pay and the remaining two months will be with out payment.

Public holidays are also non working days and at the same time paid holidays. During the time of the late emperor Haileselassie, public holidays were predominantly associated with the birth day, date of Coronation of the emperor and religious holidays of the Ethiopian Orthodox Church. That was a reflection of the then existing Imperial rule and authority on the one hand and religious favouritism on the other.

With the assumption of political power by the military regime, locally known as the ***Derg***, a paradigm shift in the designation of public holidays was being witnessed. Ever since that period, public holidays have had national, international or religious features. Among the national holidays; Victory of Adwa (Commemoration)(March 01), Victory day(May 05) are some. The international one is May Day (01) (International Labour Day). The religious ones tried to address

the religious interests of the two dominant religions in Ethiopia (i.e. Christianity & Islam). **(for the list of public holidays, please refer *Public Holidays Proclamation No.16/1975(as amended)*)**

4.4. Safe and Healthy working conditions

It is well known that industrial activities are full of risks. Risks could be either to life, health, property or the environment or to all. The Risk may express itself in the form of accident, occupational disease or environmental pollution. More often than not, employees are the most exposed sector of society to the risk.

Traditionally, where an employee sustains employment injury, it was himself/herself who would be responsible to remedy the injury. Some of the justifications for such an approach were that the wage which was being paid by the employer included payment for possible risks; and the principle of “voluntary assumption of risk” in which the employee assumes the risk of being harmed when he/she decided to work on such circumstances. Both of these served towards justifying “let the damage rest where it falls” and hence the employee was held as his own insurer.

In connection with this a certain American writer stated the following. “Early common law duties of master to provide safe workplace became effectively eviscerated by the mid-nineteenth century by three common law defenses available to employers. The three legal doctrines, contributory negligence, assumption of risk, and fellow servant rule, formed the “unholy trinity” of employer common law defenses. First, workers whose own negligence had contributed to their injuries were barred from recovery under the contributory negligence rule. Second, a worker was deemed to have assumed the risk of accidents by accepting employment. By accepting employment without specific reservation of protection against accidents, workers were deemed to have bargained away their rights to hold the employer responsible for risks known to them or normally incident to that kind of employment.

Unlike contributory negligence and assumption of risk, which were general common law defenses that also could be applied in the workplace, the third defense, the fellow servant rule, was exclusively a rule of the workplace. Based on this, the assumption goes, by accepting

employment, the worker could be deemed to have assumed the risk of negligence of his fellow servants.

Thus, the nineteenth century common law rules left the burden of injuries on the working people who suffered them, regardless of whether they had the ability to avoid the accident, change the degree of danger, or even object the dangerous condition. The general employer duty to provide a safe workplace came to be weakened by three ever more broadly interpreted exceptions and by the legal fiction that the working person was deemed to have assumed the risk of his or her bargaining for the job.”

Through passage of time, however, this position gave way to the principle of transfer (passing off) of risk. Many jurisdictions adopted employer’s liability for employment injury cases. The Ethiopian legal system has had also expressly incorporated this principle ever since the promulgation of the Civil Code in 1960 (Arts.2548-2559).

The reason for such a paradigm shift has been more of economic and equity. In economic terms, when an employer is held liable to cover the costs of employment injury, it will transfer such cost into society by thinly distributing this expenditure in the price of the product or services which is made available by the employer. Hence it is in a better position than the employee to pass off the cost to the consumers. Furthermore as the employee sustains injury while at the disposal and service of the employer, it is economical justified and equitable if it is held liable because if it benefits from the service of the employee, it should compensate when loss occurs. Finally, under the “deeper pocket” principle, the employer is in an economically better position to cover such cost even if it fails to pass it off to society.

Be that as it may, employer’s liability in this connection has two levels (namely; at the level of prevention and at the remedial stage).

4.4.1. Preventive measures

At the level of prevention, the employer is duty bound to prevent preventable risks. For this purpose, it is required to provide safety equipments and train how and when to make use of them (Art.92 LP). Nevertheless, it is worth noting that the employee has also a corresponding duty at the level of prevention. He/she is required to make use of the protective tools appropriately and

at appropriate time and place (Art.93 LP). Furthermore, he/she is obligated to obey all health and safety instructions. Hence prevention demands the care of both parties (i.e. bilateral care).

It must be admitted that prevention may not be successful all the time. Even with utmost care, it is likely that employment injury may occur. Thus regulating prevention, though necessary is not sufficient in this regard. With this view in mind, the law comes out with provisions necessary in regulating the remedial stage.

4.4.2. Remedial measures

By remedial stage what we mean is, taking compensatory measures after the damage has already been sustained. This stage, in actual effect, is pin pointing the modalities for loss distribution. Once industrial accident or occupational disease is sustained, the employer is expected to cover cost of medication including the cost for any necessary prosthetic or orthopedic appliances. Hence employer's liability is not limited to the stage of prevention. It rather covers the remedial stage also so long as the injury is associated with the employment. This will take us to identifying what employment injury is.

Extract from "Simplified guide to Ethiopian labour law" By Mehari Redae

Employment injury could be categorized into two. They are either occupational accident or occupational disease (Art 95(2) LP & Art.47 (1) FSCP).

Occupational accident is any organic injury or functional disorder sustained by an employee:

- while carrying out the employer's order at a place and time of work ;(*e.g. one below*)
- while at the place of work before or after his work or during tea or lunch breaks ;(*e.g. two below*)
- while the employee is proceeding to or from place of work in a transport service provided by the employer (*e.g. three below*).

E.g. one

Bekele's right hand was seriously injured while he was operating a machine at his place of work.

E.g. two

Sosna sustained injury when fire broke out at a cafeteria within the compound of her place of work during a tea break while she was drinking tea. Although she was not performing work at

the time of the injury, she was there for the purpose of the work and hence her injury is assimilated to occupational accident.

E.g. three

Seyoum was going to his place of work when the car he was in collided with a train. He thereby sustained serious bodily injury. The vehicle he was in was a bus assigned by his employer to transport employees to and from place of work.

Another workmate of Seyoum, Shifa, similarly sustained injury on his way to work place using a taxi. Shifa hired the taxi by money he received from his employer in the form of transport allowance.

Seyoum's injury is employment injury while Shifa's is not. The reason is Seyoum was going to work through a means of transport chosen and assigned by the employer and hence the employer is responsible for the consequences of its actions. But Shifa was proceeding to work through a means of transport chosen by him. Thus he was going to work at his own risk and hence no employer liability.

Occupational disease, on its part, is any pathological condition whether caused by physical, chemical or biological agents which rises as a consequence of :

- the type of work performed by the employee or
- the surroundings in which the employee is obliged to work.

Nevertheless, occupational disease does not include endemic and epidemic disease which is prevalent in the area where the work is done. Such disease will be occupational disease for those employees who are exclusively engaged in combating such diseases by reason of their occupation.

E.g. Osman was a store keeper in a certain cotton plantation in Afar for five years. While at work, he contracted malaria and died due to it. His family instituted a court action against the cotton plantation for compensation claiming that their breadwinner died due to occupational disease.

The claim of the deceased's family is untenable under the law. Malaria in afar is an epidemic disease and hence contracting malaria in Afar is a **generally available risk** to inhabitants of the locality whether employed or not. Thus, it cannot be held as occupational disease.

Another example, Seid is a health officer in the same cotton plantation. His job responsibility was looking after the well being and health of the employees including malaria prevention. While on duty, he contracted malaria.

It is an occupational disease for Seid because he is exposed to increased risk of malaria contraction more than anybody else due to his job responsibilities. Hence he should be protected from such risk if he is to effectively render service under the contract.

4.4.3. Exemption from liability

As indicated earlier, employer's liability is limited to employment injury cases. Employment injuries as indicated above are predominantly injuries sustained at the place and time of work and injuries some how related to work. Thus, the employer is not an all time (i.e. twenty four hours) insurer of the employee as regular working hours is only eight hours per day. Even for injuries sustained at the time and place of employment, there are exceptional situations where the employer can validly avoid liability. A case in point is where the employee intentionally caused the injury on her/himself.

Although it may be difficult for the employer to show that the employee intentionally caused the injury on her/himself, the law has laid down presumptions in its favour. Among the presumptions are, when the employee does not obey safety instructions of the employer or when the employee reported to duty under the influence of alcohol or chat and sustained the injury while in such circumstances. The employer will be exempted from liability and the damage will rest where it falls.

It has been stated earlier that one of the statutory obligations of an employee is to report for duty in fit physical and mental condition (Art.13 (4) &14(2) (c) LP). Thus when an employee reports for duty under the influence of intoxication, s/he, in effect, is violating one of his/her primary obligations. This seems the reason why such an employee is denied of employment injury benefit.

4.4.4. Extent of liability

Once a certain injury is held to be employment injury and the employer has no ground to invoke in view of avoiding liability, the next step will be determining the scope of its liability. Although the scope of liability is closely related to the degree of injury sustained by the employee, there are common obligations which are applicable to all injuries. These are:

a) Immediate obligation

As soon as the employee is known to have sustained employment injury, the first step the employee is expected to do is:

- provision of first aid service to the injured employee;
- transporting the injured employee to the nearest medical facility.
- notifying the appropriate government organ about the incident.

b) Medical expenses

Subsequent obligation imposed on the employer will be, covering the following costs of medical expense:

- costs of medical and surgical care;
- hospital and pharmaceutical costs;
- cost of artificial facilities for the injured when recommended by Medical Board.

Problem

What if the injury sustained by the employee demands and is verified by the medical board for medication abroad, Will the employer be required to cover such costs?(discuss)

4.4.5. Disability Benefits

The employer's liability is not limited to cost of medication. It will further be obligated to provide disability benefit to the employee. The amount of the disability benefit is to depend on the degree and duration of disability.

Ordinarily, disability may be temporary or permanent. It may also be total or partial; the worst scenario, of course, is death.

E.g. (1) Amare sustained a severe car accident while delivering goods for the company and he was prevented from rendering his employment service for six months due to the accident. Such disability is total and temporary. It is total because the employee was totally preventing from

providing service. At the same time, the disability is temporary because the employee was prevented from rendering service for only six months.

E.g(2): Petros lost his right arm due to an accident associated with his employment. This kind of injury is partial and permanent. It is partial disability because the employee is not to lose 100% of his/her working capacity because of the said injury. Nevertheless, it is permanent injury because it will remain with him/her through out his/her lifetime.

The law has regulated these different scenarios differently. For the purpose of the labour Proclamation, temporary disability is a reduction in working capacity that may last for a maximum duration of twelve months starting from the date of the occurrence of the injury. It is interesting to note that the FCSP does not have fixed time limit for temporary disability except that it is fully paid. Be that as it may, for this kind of injury, the employer, in addition to covering the medical expenses of the employee, is also obligated to make payment to such an employee. The mode of payment is a periodical payment and the amount will be full wage for the first three months; 75% of the employee's monthly wage for each of the next three months; and 50% of the monthly wage for each of the remaining six months.

For instance, let us assume an employee who was earning Birr600/month sustained temporary disability which lasted for eight months. His disability payment will be Birr600/month for the first three months; Birr 450/month for the next three months and finally Birr300/month for the last six months. It is worth noting that such payment is exempted from income tax(Art.112 LP) Nevertheless, the employee may be denied of these payments if s/he fails to observe doctor's advice or behaves in a manner that prolonged his/her time of recovery.

In cases where the injury resulted in permanent disability, the employer will be obligated to provide lump sum compensation to the injured. The maximum payment available for an employee who suffers total permanent disability due to employment injury is a sum equal to five times of the employee's annual wage(Art.109(3)(a) LP). The employer's liability, therefore, is both limited and liquidated. If the injury sustained resulted in permanent but partial disablement, the above mentioned payment shall be calculated in proportion to the degree of the disability and reduced accordingly.

For instance, if an employee who was earning Birr600/month sustained **total permanent disability**, due to employment injury, his/her disability benefit will be:

$$600(\text{monthly wage}) \times 12(\text{yearly wage}) \times 5(\text{years}) = \text{Birr} 36,000$$

But, let us assume the employee who lost his right arm above was verified by a medical evidence to have lost 30% of his working capacity, and was earning Birr600/month prior to the accident; his disability benefit will be:

$$600 \times 12 \times 5 \times 30 / 100 (\text{rate of disability}) = \text{Birr } 12,000$$

As indicated in the case of temporary disability benefit, the permanent disability benefit is also exempted from tax. In connection with this, it is important to note that an employee will not be entitled to permanent disability benefit if s/he has already a pension scheme or an insurance scheme arranged in advance by the employer.

For instance, in public enterprises or the civil service sector, if an employee suffered permanent injury of serious nature, he/she will automatically be pensioned and thereby benefit from the government pension scheme. In such cases the employee will not be entitled from the compensation scheme as he cannot benefit from two sources for a single injury. The same principle applies where the employer arranged an insurance scheme for the benefit of the employee.

Finally, if an employee dies due to employment injury, the employer will be obliged to pay dependent's benefit to the dependents of the deceased. The amount of such payment will be the employee's five years wage to be paid in the form of lump sum. Furthermore, the employer will cover the funeral expenses for the deceased employee.

Who are the deceased's dependents? They are nominated by the law itself and these are:

- the employee's widow/widower;
- children of the deceased who are under the age of eighteen;
- any parent of the deceased who was being supported by the same.

From the above explanation, it is not all dependents of the deceased who will be entitled to the dependent's benefit. It is only the close relatives, nominated beneficiaries, of the deceased who will benefit. Although the widow/widower's benefit is automatic, the other beneficiaries have additional conditions attached to them in order to benefit. For example, the children of the

deceased should have been under eighteen years of age at the time of the claim. In case of parents also, it must be shown that they were being supported by the deceased; if they had independent means of livelihood, they will not be beneficiaries of the dependent's payment.

Where the deceased left widow, children and parents behind, the dependent's benefit (i.e. the deceased's five years wage) shall be shared among them on the following basis:

Widow-50%

Children-10 %(each)

Parents-10 %(each)

—all non taxable.

Chapter V: Collective Bargaining & Collective Agreement